TEACHER GUIDE

SQA National 5 Business Management (C810 75)

# Motivation

Management of people
**Motivating and retaining**



A revision lesson. Pupils run a car dealership in firms of four and revise motivation on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Pay per car sold

Round 1

Your sales staff earn the same whatever they sell. Sales are flat.

**Which financial method pays for each car sold?**

- **A** A yearly bonus
- **B** A higher salary
- **C** Commission
- **D** Fringe benefits

**ANSWER**

✓ **Commission**

**Why:** Commission is a share of each sale, so pay follows selling.

## 2 Non-financial ways

Round 1

You cannot afford pay rises this year.

**Which two are non-financial ways to motivate?**

- **A** Commission on each sale
- **B** More responsibility at work
- **C** A staff discount on cars
- **D** Praise and awards for good work
- **E** A bonus for hitting targets

**ANSWER**

✓ **More responsibility at work**
✓ **Praise and awards for good work**

**Why:** Praise and responsibility cost little; the other three are money or benefits.

## 3 Rank pay this month

Round 2

A salesperson sells 7 cars worth £60,000 this month. Three ways to pay her.

**Order by pay this month, highest first?**

- **A** £1,200 plus £150 a car
- **B** £2,300 salary, no commission
- **C** £1,800 plus 1% of sales

**ANSWER**

1. **£1,800 plus 1% of sales**
2. **£2,300 salary, no commission**
3. **£1,200 plus £150 a car**

**Why:** £2,400, £2,300 and £2,250.

# Topic tasks

## 4 Pay with commission

Round 2

Basic pay plus commission on sales.

**Her pay this month?**

| | |
|---|---|
| Basic pay this month | **£1,800** |
| Her car sales this month | **£85,000** |
| Commission on her sales | **1%** |

**ANSWER**

**£2,650**

£1,800 + 1% × £85,000 = £2,650

**Why:** Commission rises with each sale, so her pay follows her selling.

## 5 Pay rise or variety

Round 3

Staff say their pay is fair, but the work is the same every day.

**Which change should you make, and why?**

**A** A 3% pay rise for all

**B** More varied, responsible work

**ANSWER**

**✓ More varied, responsible work**

**Why:** Pay is not the problem; varied work with responsibility tackles dull jobs.

## 6 Commission effects

Round 3

You move sales staff to commission only. Sales rise, but complaints from buyers double.

**What best explains this?**

**A** Staff have less work to do

**B** The firm has fewer staff

**C** Staff push buyers to buy fast

**D** Staff now earn less each month

**ANSWER**

**✓ Staff push buyers to buy fast**

**Why:** Pay now depends on each sale, so some staff push buyers too hard.

# Final questions

Each pupil answers 6 final questions on motivation. They come from these 8 questions.

Then each pupil writes one short answer: “Explain why commission might motivate a salesperson.”

1. Which action is a non-financial method of motivating employees?
   ✔ **Giving technicians more responsibility and recognition for good work**

2. A valeting firm pays workers for each vehicle completed. What is a possible disadvantage?
   ✔ **Workers may rush, reducing service quality**

3. A dealer pays sales staff a basic wage plus commission on each car sold. Which type of motivation is commission?
   ✔ **A financial method**

4. Which is a non-financial way to motivate workshop staff?
   ✔ **Praise and recognition for good work**

5. A salesperson earns £1,400 a month plus 2% commission on sales. In a month with £60,000 of sales, what is the total pay?
   ✔ **£2,600**

6. Why does a dealership want well-motivated staff?
   ✔ **They work harder and are less likely to leave**

7. Valeters swap between washing, polishing and checking cars each day. What is this method called?
   ✔ **Job rotation**

8. At the end of a good year a dealer gives every employee a share of the profit. What is the main aim?
   ✔ **To make staff care about the whole firm doing well**